FALLEN EMPIRES

Spikeball and the Shark Tank deal that never closed

A one-page breakdown of the facts from the Short. Every figure below comes from the sources listed at the end.

The deal sheet

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| Company | Spikeball Inc. |

| Founder | Chris Ruder |

| The ask | $500,000 for 10% (implied valuation: $5 million) |

| Daymond John's offer | $500,000 for 20% (implied valuation: $2.5 million), plus control of licensing, manufacturing and retail |

| Outcome | Ruder accepted on the show, but the deal never closed and was dead before the episode aired (2015) |

| Reported reason | The two sides wanted different futures for the game; Forbes reports Spider-Man branded sets as the sticking point |

| Before the show | Annual revenue above $1 million by 2013 |

| After the show | Fall 2017: one millionth net sold, about $15 million in annual sales |

Valuation = money ÷ equity. $500,000 ÷ 10% = $5M. $500,000 ÷ 20% = $2.5M.

Taking the same cash for double the stake halves the company's implied value, and the extra control terms matter as much as the percentage.

3 things this case shows

1. Demand came first: the company already had more than $1M a year in revenue before it pitched.
2. The founder weighed control against cash, and chose control: a deal can be worth less than its headline number.
3. Growth continued without the deal: one million nets sold and about $15M a year in sales by fall 2017.

2 mistakes this case helps you avoid

1. Reading a headline offer without the conditions: licensing, manufacturing and retail control were part of it.
2. Assuming the TV deal is the finish line: this one never closed, and the company kept growing anyway.

Glossary

- **Equity**: the share of the company an investor receives.
- **Valuation**: what the company is worth, implied by the price paid for a share (money ÷ equity).
- **Licensing**: the right to put the brand on other products.

This is an account of a business case, not investment advice.

Sources

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- Wikipedia, Spikeball (company): https://en.wikipedia.org/wiki/Spikeball_(company)

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